



— TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Open any stock/index chart.

Set the chart to a 5-minute timeframe.

Apply RSI with its default settings.

Apply the second RSI with an hourly chart timeframe.

Look for the second RSI to be above the 50 level.

Meanwhile, look for the first RSI to enter the oversold zone and for the price to form a bullish candle.

BUY at the high of the green candle.

STOPLOSS is below the low of the green candle.

TARGET is booked when the first RSI crosses the 70 level from above after entering the overbought zone.

On 11th April 2023, Nifty 50 index opened gap up and formed its day high. After pivoting from its day high, the day low was breached but a hammer candle was visible near the day's low indicating that there can be a demand zone. Exactly at 12:25 p.m., the first RSI reached near to the oversold zone and pivoted. The second RSI was above the 50 level. With multiple confluences holding true, the buy entry got triggered and we entered the trade with the stoploss at the low of the Hammer candle. The booked profit was almost 4x of the stoploss (1:4 Risk to Reward ratio).

